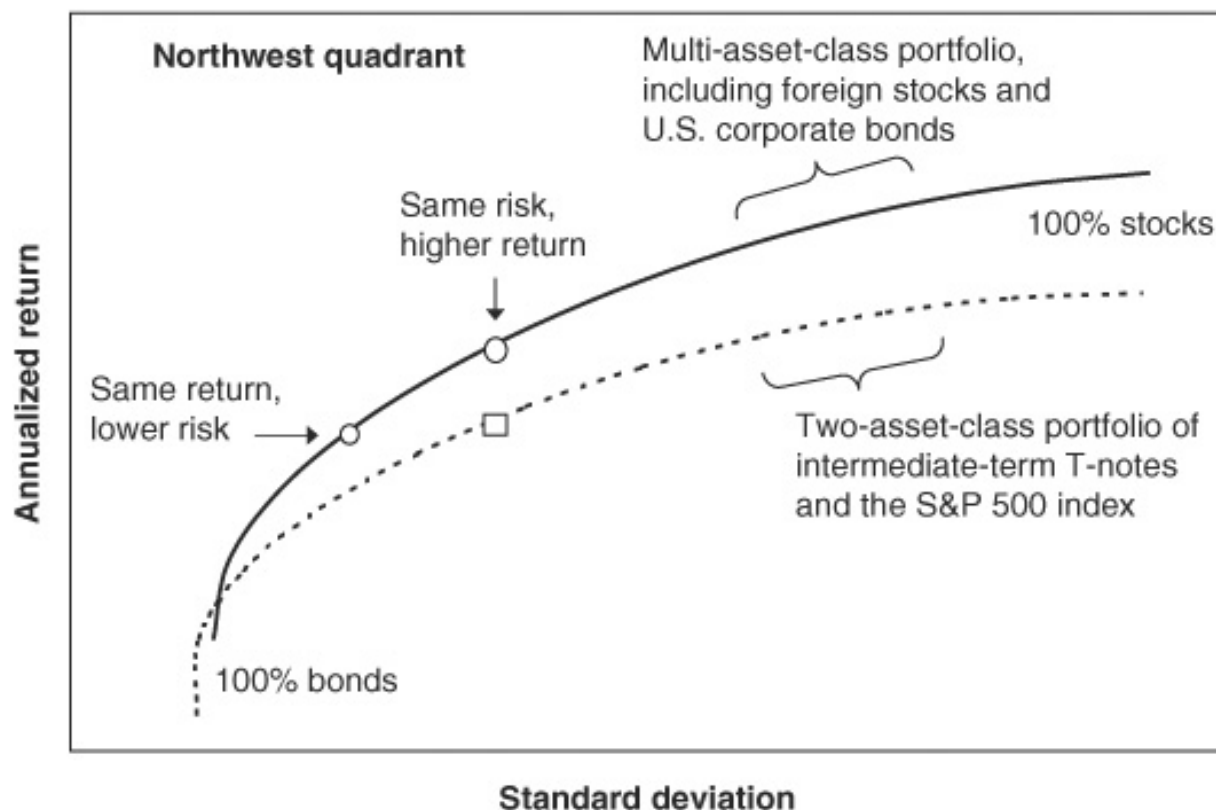




You could try to shift your asset allocation around periodically based on estimates of future returns, but that only creates more risk in a portfolio. Had you allocated out of stocks in early March 2009 because the gurus were predicting more losses, you would have missed the 60 percent gain in prices that occurred for the rest of the year.

The strategies in this book are counterintuitive to what may appear to be happening in the markets. When an investment goes down, that is when this book recommends buying, and when an investment goes up, that is when you sell. Regular rebalancing in a multi-asset-class portfolio means selling a percentage of an asset class that has outperformed and buying more of one that didn't. This may not be easy to do when everyone is talking about doing the opposite.

INTERNATIONAL STOCKS

Of the three new asset-class categories introduced in this chapter, the first two are international equity indexes. Foreign stocks have historically offered several benefits for U.S. investors. First, foreign stocks do not always move in correlation with the U.S. equity markets, which creates a